



RX INTERVIEWS

**CAP TABLE EXAMPLES
WITH Q&A**

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INTRODUCTION

A Note Before Beginning...

Sometimes in RX interviews you'll be presented a cap table (or something analogous like a listing of their debt with certain numbers like EBITDA, FCF, etc.) and asked for your thoughts.

These cap table scenarios are always presented in an open-ended way. You won't be given a laptop and asked to do anything in Excel. They just want you to talk extemporaneously about the company, based on its capital structure, to see if you understand generally how a RX banker would look at it.

In this report I'll be showing you two cap tables and then pointing out how, if you were to see these for the first time, you should talk about them.

Note: One thing I always recommend is to not be afraid to riff or ramble a bit in an interview. You should be clear and direct when asked specific questions. But when your asked for your thoughts on something like a cap table, don't be afraid to show off even if it requires you riffing for a few minutes continually.

Note: This type of exercise is more common for full-time and summer associate interviews but will occasionally come up for summer analysts. Just keep in mind that the bar is set reasonably low, as these are very open-ended exercises and most candidates won't have much of an intuitive feel for restructuring at all – certainly less than you will after going through all these guides!



THINGS TO KEEP IN MIND

When handed a cap table in an interview, there are a few things you should do right away.

1. Create a little liquidity table (showing how much liquidity is available)
2. Draw a little graph of the maturity walls
3. Calculate leverage and interest coverage ratios, if possible

Doing this will demonstrate that you understand that when we're trying to ascertain if a company is likely needing to be restructured it'll be a result of having debt come due that the company can't re-finance (probably because lenders are scared of their poor FCF position).

There are also a few things that a cap table (on its own) won't show you, but that you should ask about. These are the kinds of things that we normally put in footnotes and include:

- Is there a restricted cash? (e.g., if the company has \$20mm of cash, do their covenants necessitate that they keep \$10mm of it)
- Is there a springer (a spring forward) that would cause an even earlier maturity for some part of the capital structure than what is shown
- Is there grid pricing not currently triggered that would make cash interest payments even more onerous
- Does the company have enough liquidity to pay cash interest this year? Next year?
- Is there the capacity to place more debt in the secured basket? Or do the existing revolver and/or term loans preclude adding much more debt?

Ultimately, this is an exercise for you to show off your knowledge base. So, you should talk openly and not worry about having tight, structured answers. It's far better for them to come away impressed with your breadth of knowledge than it is to provide 30-second answers that don't show what you really know.



EXAMPLE ONE

Look over the following cap table and answer the following questions. Provide your thoughts in full and feel free to stray beyond the scope of these specific questions.

- How distressed do you think this company likely is?
- Why do you think the company is or is not likely going to need to be restructured?
- What are some restructuring alternatives that could be explored?

	Face Value	Market Price	Market Value	Coupon	Cash		Credit Ratings	Debt / LTM Adj. EBITDA	
	01-01-20	01-01-20	01-01-20		Interest	Maturity		Face	Market
Cash and Cash Equivalents ¹	\$40		\$40						
\$200mm Revolving ABL due 2022 ^{2,3}	\$0	NA	\$0	L+175	\$0	Jun-22	NR / NR		
Term Loan B ^{4,5}	481	78	375	L + 425	26	Aug-21	B3 / B-		
Total Secured Debt	\$481		\$375		\$26			6.0	4.7
Senior Notes due 2023	300	54	162	8.25	25	Feb-25	Caa3 / CCC-		
Total Debt	\$781		\$537		\$51			9.8	6.7
<i>Net Debt</i>	<i>741</i>		<i>497</i>					<i>9.3</i>	<i>6.2</i>
Memo:									
LTM Adjusted EBITDA	\$80								
Interest Coverage Ratio	1.6								



Here we have a pretty simple cap structure, but one that is actually quite traditional.

The first thing you want to do is explain that you want to get an idea of their liquidity. You should ask if the interviewer knows if they have letters of credit outstanding and if they do how much (as letters of credit aren't embedded in the cap table).

Let's pretend you're told they have \$5mm of letters of credit outstanding.

...Then you will be able to create a liquidity table like this:

Total Liquidity	
ABL Borrowing Capacity	\$200
Less: Amount Outstanding	0
Less: Letters of Credit Outstanding	(5)
Revolver Availability	\$195
Plus: Cash and Cash Equivalents	40
Less: Restricted Cash	(10)
Total Liquidity	\$225

Obviously, it looks like this company has a ton of runway!

But you should note that this liquidity almost entirely comes from their ABL. In reality, they only have \$25mm in cash they can use for whatever they like given the 1. Restricted cash and 2. Letters of credit outstanding.

You should then note the maturity dates: June 2022, August 2021, and Feb 2025.

You should note that the Term Loan is coming due soon (in about a year) and is trading at quite low levels for such a senior piece of debt (any TL trading below 80 is quite distressed no matter the market environment). So, this is perhaps an indication of investors thinking the company is quite distressed despite how rosy their liquidity position appears to be at first glance.

You should note that the revolver is due less than a year *after* the term loan and ask if there is a springer. You should explain that the reason why you ask is because normally the most senior pieces of the capital structure, if they come due *after* more junior pieces, will have a springer attached in the event the more junior pieces are not re-financed quite soon before they mature.

You should explain that if the revolver has a springer, then all of a sudden the term loan and revolver will become due at roughly the same time (in about a year) which will create a massive maturity wall.



You should also note that the Senior Notes are trading down significantly. Clearly investors believe this company will need to restructure and that the Senior Notes, should a Chapter 11 occur, will be severely impaired.

You should then move on to observing the leverage ratios (or calculating them if you haven't been given them) and noting these are very high. There are no hard and fast rules, but generally you like to see secured leverage below 5.0x and total leverage below 7.5x. You should note these leverage ratios must be butting up against covenants if they are present.

You should also calculate the interest coverage ratio. Remember that the closer (or below) the number one it is, the worse it is.

You may want to also throw out there that the actual cash the company has (that's not restricted) doesn't even cover the yearly cash interest of the secured tranche of debt. Meaning it is very unlikely the company will be able to go out and roll over (re-finance) this debt. So, it does make sense why everything is trading at such distressed prices.

1 What should be done...?

You've set the stage well. Now you need to figure out what to do.

You should always have a few "action items" that will inform what you think a good restructuring may look like. These "actions items" are almost always the same, as they are what we want to do in every restructuring! They include:

- Wanting to push out maturities
- Wanting to reduce cash interest expense
 - Whether that's by using PIK, equitizing existing debt, or doing an exchange, or all of the above!

So, for this example, you would say that the primary concern is that the revolver (with the springer) and the term loan are coming due soon so a restructuring will almost certainly have to take place (given that they can't be refinanced most likely due to their poor cash position and current ratios).

Therefore, we need to look toward pushing those maturities out at a minimum, but also looking at dealing with the Senior Notes if possible, given how much cash interest is associated with them.

1 What are the solutions...?

After showing that you understand what is going on, have asked some good clarifying questions, and laid out what needs to be rectified it's time for the solutions.



In this case there should be two obvious solutions: just an “amend and extend” or an extension in conjunction with an exchange.

While expensive in cash interest, the Senior Notes don’t necessarily need to be touched given that they’re due in 2025. Instead the primary focus should be on the revolver and term loan as they are coming due in less than a year at virtually the same time (due to the springer).

You should explain that if the maturities of the revolver and term loan are bumped out, that will buy time for the company to try to turn things around. It may be a bit expensive to do this – as you’ll have to offer the revolver and term loan some economic enhancements – but the company does have \$40mm of cash on the books (although only \$25 is free and clear).

You should explain that getting a two- or three-year extension of the maturity on the revolver and term loan will probably require some or all of the following:

- A partial term loan paydown (beyond the normal amortization, as it appears this TLB has a tiny bit of amortization given there’s \$481mm left and they probably raised \$500mm). Paydowns are normally 3-8% depending on how much cash the company has to pay for this.
- A consent fee is paid to the revolver (usually 100bps or 1%)
- Increased interest rates of perhaps 1% for the revolver and 2-4% for the term loan

The amount of cash required for the company to do this, for example, would be (\$481mm*(% of paydown)) and \$200mm*0.01 (for the consent fee). Assuming a 3-4% paydown of the term loan this would still leave the company with a reasonable amount of cash and a new revolver to draw down in the future, should it be needed.

This would buy some time for the company to complete more of a turnaround.

You may also want to explore an exchange. An exchange would be used to deal with the Senior Notes and to try to reduce cash interest. An exchange, given how soon the revolver and term loan mature, would need to be done in combination with an extension of those (as we just discussed).

A potential exchange structure, to reduce cash interest, would be exchanging the Senior Notes for secured (2L) Notes due five years from now that pay 10% PIK. This would give:

- A higher position in the capital structure
- Make the Notes secured (assuming there’s the assets to be secured by) vs them currently being unsecured
- Provide a higher interest rate, saving the company cash interest
- Push out the maturity of the bonds even further



You should note that because the bonds are trading at 54, clearly they aren't expecting much recovery here and feel the company is in distress. If bond holders want to have a better shot at the company not going through a Chapter 11, an exchange that frees up cash for the company may be their best bet. In the event of a Chapter 11, they will now also have a secured position and may have a slightly better recovery.

1 Conclusion

Cap tables can be discussed for hours, and RX bankers frequently do just that.

Ultimately, when in an interview or initially on the job, you want to be able to identify what the pain points of the company are (maturity walls, covenants that will force an earlier than obvious distressed situation, etc.) while knowing enough to come up with *generalized* solutions.

No one is expecting you to know it all. Being able to show you at least understand the process for thinking about distressed capital structures puts you way ahead of the game.

Below is the full cap table, with footnotes, for you to see as well (this is exactly what you would be expected to produce for a screen or profile).

	Face Value	Market Price	Market Value		Cash		Credit	Debt / LTM Adj. EBITDA	
	01-01-20	01-01-20	01-01-20	Coupon	Interest	Maturity	Ratings	Face	Market
Cash and Cash Equivalents ¹	\$40		\$40						
\$200mm Revolving ABL due 2022 ^{2 3}	\$0	NA	\$0	L+175	\$0	Jun-22	NR / NR		
Term Loan B ^{4 5}	481	78	375	L + 425	26	Aug-21	B3 / B-		
Total Secured Debt	\$481		\$375		\$26			6.0	4.7
Senior Notes due 2023	300	54	162	8.25	25	Feb-25	Caa3 / CCC-		
Total Debt	\$781		\$537		\$51			9.8	6.7
<i>Net Debt</i>	<i>741</i>		<i>497</i>					<i>9.3</i>	<i>6.2</i>
Memo:									
LTM Adjusted EBITDA	\$80								
Interest Coverage Ratio	1.6								

Source: Public filings, FactSet, MarkIt, Moody's, S&P, Capital IQ

1. \$10mm of cash is restricted

2. Maturity springs to 90 days before Term Loan maturity if the Term Loan has not been repaid

3. Grid pricing whereby rate is L+175-225 based on utilization

4. Term Loan originated at \$540mm. Rate based on grid pricing whereby L+425 if total leverage exceeds 6.5x (L+375 otherwise)

5. LIBOR floor of 1.00%



EXAMPLE TWO

Look over the following cap table and answer the following questions. Provide your thoughts in full and feel free to stray beyond the scope of these specific questions.

- How distressed do you think this company likely is?
- Why do you think the company is or is not likely going to need to be restructured?
- What are some restructuring alternatives that could be explored?

	Face Value 01-01-20	Market Price 01-01-20	Market Value 01-01-20	Coupon	Cash Interest	Maturity	Credit Ratings	Debt / LTM Adj. EBITDA	
								Face	Market
Cash and Cash Equivalents	\$5		\$5						
\$70mm RCF ^{1 3}	\$30	NA	\$30	L + 350	\$1	Jun-20	B1 / B+		
1L Term Loan B ^{2 3}	525	88	462	L + 450	30	Jun-21	B1 / B+		
Total Secured Debt	\$555		\$492		\$32			4.4	3.9
6.0% Senior Unsecured Notes due 2022	300	81	243	6.0	18	Jul-22	Caa1 / CCC+		
10.5% Junior Subordinated due 2023	110	NA	110	10.5	12	Sep-23	NA / NA		
Total Debt	\$965		\$845		\$61			7.7	6.8
<i>Net Debt</i>	<i>960</i>		<i>840</i>					<i>7.7</i>	<i>6.7</i>
Memo:									
LTM Adjusted EBITDA	\$125								
Interest Coverage Ratio	2.0								



In the prior example it was (hopefully!) relatively obvious that either an extension or exchange could work.

...Before reading further think about the cap table you've just been shown. Is it obvious that an extension or exchange (or both) could work realistically?

If presented this cap table in an interview the first thing you're going to do is quickly sketch out a liquidity table...

Total Liquidity	
ABL Borrowing Capacity	\$70
Less: Amount Outstanding	(30)
Less: Letters of Credit Outstanding	(6)
Revolver Availability	\$34
Plus: Cash and Cash Equivalents	\$5
Total Liquidity	\$39

Note: You'll need to ask if there are any letters of credit outstanding in order to do this. If you forget in an interview about letters of credit don't worry about it, as they never change things too much (although it's very impressive if you ask about them).

Here, unlike in example one, we don't have ample liquidity. Instead we have just \$29mm for a company with EBITDA of \$125mm. Further, the actual cash position of the company is very poor.

Moving along to maturity walls we see there are some due in roughly the next year (including the revolver which is due in less than a year). However, the bonds are still a few years out.

An interesting observation you may make is that the leverage ratios are high, sure, but not crazy relative to what you'd see in many companies that engage RX bankers. Further, interest coverage at 2.0x (you should do this yourself if the ratio isn't provided to you), which is really quite high.

You should note that the bonds aren't trading down to incredibly low levels and this may be a sign that distressed investors aren't seeing this company (yet) as being in an intractable position.

You should also inquire as to if the term loan has a springer of some kind attached to it. Is there the capacity to place more secured debt or is that basket limited by covenants attached to the revolver and term loan?

Note: I can't stress enough how often springers come up and how impressed your interviewer and/or your peers will be on the job when you are always looking out for them.



1 What should be done...?

When thinking about what should be done, remember the “action items” I brought up before:

- Wanting to push out maturities
- Wanting to reduce cash interest expense
 - Whether that’s by using PIK, equitizing existing debt, or doing an exchange, or all of the above!

In this example, cash interest is quite high, but interest coverage is relatively strong as well. We do not have much cash, however.

1 What are the solutions...?

Remember that in a pitch you’ll almost always be including multiple scenarios for how a company could restructure; some of which are not entirely plausible, but worth considering.

Realistically, the unsecured debt is still a few years away, interest payments can be made relatively easily, and they aren’t trading at overly distressed levels.

You should bring up the fact that maybe it’s best to deal with the current maturity issues (the revolver and term loan) now and try to turn the company around operationally before dealing with the unsecured debt.

You should bring up the fact that in any out-of-court restructuring, you always have to get near unanimous consent and when bonds are trading rich (high) that usually means that bond holders either i) are going to want a sweetheart deal or ii) are just going to be uninterested in dealing with an out-of-court restructuring process.

The easiest solution that pushes out maturities quickly and relatively pain free is just doing an extension.

Just as in our prior example, an extension’s terms would go something like this:

- A consent fee (usually 100bps or 1%) paid to the revolver
- A paydown (usually 3-6%, probably on the lower end given cash-on-hand) is paid to the term loan
- The economics of the revolver and term loan are enhanced (probably by one and two percent, respectively)
- Given where the Notes mature, you would insert a springer for both the extended revolver and term loan stating that if the Notes are not refinanced by 90 days before July 2022 the revolver and term loan would spring before them



Given that the company is not in a terribly distressed state (by virtue of where things are trading and what their ratios are) the secured debt shouldn't be overly against this arrangement given the concessions offered to them.

You should note that the secured debt probably feels like, even in the event of a Chapter 11, they won't come even close to being impaired. So, what they're really being asked to do is extend out their maturities, give the company time to turn things around, and if that can't be done and a Chapter 11 occurs that's unfortunate, but not the end of the world, as they are still going to be made whole in the end (given their strong asset coverage).

It's almost like we're offering the secured debt a free call option. Sure, the company may end up filing, in which case they're made whole, but there's the potential the company will turn things around and the revolver and term loan will be able to get even more money than they otherwise would have (due to the consent fee / TL pay down and the enhanced interest rates on the debt moving forward).

2 Conclusion

One thing we haven't discussed much is that you'll see some – not many, but some – companies in need of restructuring that are in the midst of a turnaround. Their EBITDA, FCF, and ratio positions are improving, but yet they still are “iffy” enough that creditors don't want to just straight re-finance their pieces of the capital structure.

This could be the case with this kind of example. The loans and bonds could be trading well because the company is improving, but they have this maturity wall that they need to get around that perhaps folks don't want to just straight up re-finance.

When presented with this kind of capital structure, it's worth bringing up the fact that a company in need of restructuring isn't necessarily always a company with plummeting sales. They can just have a capital structure that's a bit too onerous for their current fiscal situation.

	Face Value	Market Price	Market Value	Coupon	Cash Interest	Maturity	Credit Ratings	Debt / LTM Adj. EBITDA	
	01-01-20	01-01-20	01-01-20					Face	Market
Cash and Cash Equivalents	\$5		\$5						
\$70mm RCF ^{1 3}	\$30	NA	\$30	L + 350	\$1	Jun-20	B1 / B+		
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Memo:									
LTM Adjusted EBITDA	\$125								
Interest Coverage Ratio	2.0								

Source: Company filings, FactSet, MarkIt, Moody's, S&P, Capital IQ

1. Grid pricing of L + 300-350 based on senior secured leverage ratio.

2. Grid pricing of L + 425-450 based on total leverage ratio. 1% annual amortization. 1% LIBOR floor.

3. Springing 6.5x senior secured leverage covenant if 45+% of total revolver commitment is drawn (as of 1/1/20, Company had drawn 43% of its revolver commitment)



CONCLUSION

In restructuring, cap tables are going to be something you look at and create every single day.

It may seem repetitive, but in reality every cap table is going to be different and will require careful diligence of the debt documents to make sure you fully understand the mechanics of the debt.

Don't be surprised, especially as an associate, if you get shown a cap table in an interview and get asked for your thoughts.

Note: If you're asked which class of bonds will be impaired in the event of a Chapter 11, don't freak out. Use your best judgement if they give you the total assets of the company about where it'll break down (a general rule of thumb is just to take 70% of them and see what ends up being impaired as a result).

As always, if you have any questions feel free to reach out.